investments is key but feeling comfortable about them is equally important. If management has changed for the worse, the company is continuously embroiled in scandal, or the industry or market segment is declining beyond your comfort level, then it's okay to get out of the investment.

The company declared bankruptcy. If you are invested in individual stocks, sometimes there are situations where a company will declare bankruptcy with only a few advance signs. There are two types of bankruptcy a company can file: chapter 11 and chapter 9. Chapter 11 bankruptcy simply means the company will be restructuring and there will be a lot of change happening in the near-term. This is what American Airlines had to do after 9/11 and it got back on its feet. Chapter 9 bankruptcy means the company will completely dissolve its assets and it's pretty much over—get out of this stock as soon as you can. With investments in funds, the good news is that a fund's investments can typically absorb the impact of a company's bankruptcy filing with minimal impact to your portfolio because of the high level of diversification within the fund.

In the end, it's important to remember that selling an investment at a loss is not the end of the world and surely if you keep investing, you will more than make up the difference with big winners in the long run. You can't say that will happen in a game of poker!

Take Action

1. Set a calendar reminder for every quarter to review your investment portfolio to ensure your investments are performing in line with your long-term objectives.
2. Also set a reminder to rebalance your portfolio once a year if necessary to sell the investments that are putting your asset allocation off balance and then to buy more of what you need to attain the right balance.
3. Nothing to rebalance? That's perfectly fine. If your portfolio remains in line with your current objectives, then you don't need to change